

grow their franchise in an asset-light manner by engaging in co-lending and business correspondent arrangements with other lenders.

### A VIGILANT REGULATOR

Bankers also have to deal with an active regulator that is keen to avoid mishaps such as those in the past involving YES Bank or IL&FS. During a recent meeting with banks, RBI Governor Shaktikanta Das emphasised the importance of sustained vigilance. He highlighted several critical areas, including the viability of business models, the concerning trend of excessive growth in personal loans, adherence to co-lending guidelines, and banks' exposure to NBFCs.

Rajeev Yadav, MD & CEO of Fincare Small Finance Bank, which will merge with AU Small Finance Bank on April 1, notes that RBI's focus on continued vigilance against potential risks is particularly relevant for small finance banks due to their focus on underserved segments. "The surge in personal loan growth, while positive for financial inclusion, necessitates close monitoring and responsible lending practices," he says.

### THE WAY AHEAD

While challenges persist, the next three to five years are poised to be exciting for the space with players creating a foundation for the future by investing in technology. Bankers say the use of Generative AI (Gen AI) is showing positive results across industries and has the potential to deliver significant value to the sector, by enhancing service quality and improving overall efficiency. "Scaling up capabilities through Gen AI remains a key challenge. Considering the banking sector is regulated, the probability or risk of massive disruption is relatively low," says Sathe.

"The current (banking) cycle is likely in its early- to mid-stages. This suggests that asset growth will be robust, and growth on the liabilities side will be reasonably steady. NPA formation will generally be minimal... Nonetheless, the core business for banks will remain healthy," says Kaushtubh Kulkarni, Senior Country Officer-India and Vice Chairman-Asia Pacific, J P Morgan.

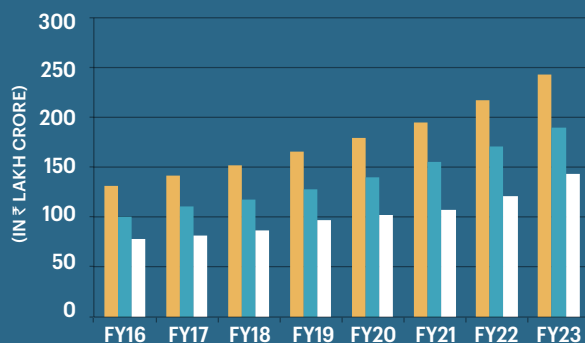
With India aiming for a \$30-trillion economy by 2047, the financial sector is a significant growth engine. Kotak says that achieving a balance between appropriate regulation, risk management, and growth aspirations is crucial for the players, regulators, and the government.

Finding this balance is key. **BT**

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## SOLID FOUNDATION

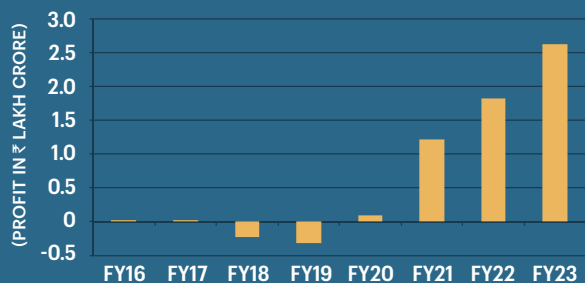
Since FY16, banking assets have grown 1.85 times and deposits 1.9 times



● TOTAL ASSETS ● DEPOSITS ● LOANS & ADVANCES  
SOURCE RBI REPORTS

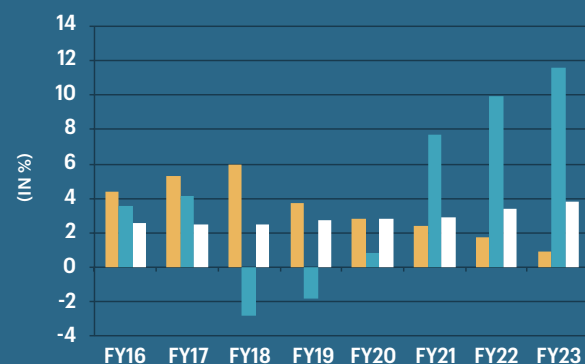
## SURGING PROFITS

The sector incurred losses in FY18 and FY19 due to higher NPAs and provisioning pressure



## RISING MARGINS

NIMs have expanded as banks are optimally utilising capital by managing risks



● NET NPAs ● ROE ● NIM  
NIM NET INTEREST MARGIN; ROE RETURN ON EQUITY;  
NPAs NON-PERFORMING ASSETS SOURCE RBI REPORTS